

Table 60.2 General Statistics

Description	Bull Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Number found	477	1,118	452
Reversal (R), continuation (C) occurrence	69% R, 31% C	21% R, 79% C	15% R, 85% C
Reversal, continuation performance	49% R, 44% C	−15% R, −16% C	−20% R, −22% C
Average rise or decline	47%	−16%	−22%
Standard & Poor's 500 change	15%	−2%	−10%
Days to ultimate high or low	331	56	31
How many change trend?	58%	29%	47%

Days to ultimate high or low. For downward breakouts, does price fall faster in bear markets than in bull ones? Yes. In fact price drops 2.5 times as fast in bear markets. So maybe this is proof of the market's influence on individual stocks.

How many change trend? This is a measure, a count really, of how many scallops see price move more than 20% after the breakout (on the way to the ultimate high or low). I consider values above 50% for upward breakouts to be yummy for your tummy. In bear markets, downward breakouts come close, at 47%, so that's a jolly good showing, too.

Table 60.3 shows failure rates for descending and inverted scallops. The failure rate in bear markets is the lowest of the three columns, so let's talk about it.

I found that 10% of the patterns failed to see price drop more than 5% after the breakout. The failure rate more than doubles for drops of 10%, meaning